

Additional Examples Leasing

A piece of equipment costs R15,000, it must be replaced in 4 years and is worthless at that time. It can be depreciated straight-line over the 4-year asset life. Assume that depreciation and wear and tear are the same. The firm can borrow at 12%. The equipment can be leased for R5,000 per year. The tax rate is 35%.

Required:

1. What is the net advantage to leasing?
2. Suppose the distillation unit is worth R1,000 pretax at the end of the fourth year.

What is the net advantage to leasing?

(Assume that the accounting depreciation is the same as section 12 C wear and tear and that the tax value is zero)